## Question #1 of 46

Question ID: 1675860

Williams & Fudd is a major London-based brokerage and investment banking firm. Heritage Group, a money management firm, is the first-, second-, or third-largest holder of each of the securities listed on Williams & Fudd's "PrimeShare #10" equity security list.

Williams & Fudd faxed a preliminary copy of a research update bulletin on Yeshe Corp to Heritage at 7:00 am on Wednesday, July 23. The report, a change from a "hold" to a "strong buy", was released to the public at 11:00 am. Between 11:00 am and 11:20 am, Heritage executed a series of trades with which they bought 1.25% of Yeshe's publicly traded stock. This action is:

**A)** a violation of the Standard concerning fair dealing. ✓

**B)** a violation of the Standard concerning priority of transactions, but it would conform if Heritage had waited at least 48 hours after the report was issued. ✗

**C)** in accordance with the CFA Institute Code and Standards. ✗

**Explanation**

This action, by giving preferential treatment in the dissemination of investment recommendations and material changes to a favored client, is a violation of Standard III(B) concerning fair dealing.

(Module 21.1, LOS 21.b)

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## Question #2 of 46

Question ID: 1675838

Marc Feldman, CFA, is the manager of corporate investor relations for a high-tech start-up, Zippy.com, in Boise, Idaho. Feldman learns that Larry Smith, controller, is altering the accounting records. Knowing the data is incorrect, Feldman releases Smith's financial data to investors. This action constitutes a violation of:

**A)** the Standard concerning duty to employer. ✗

**B)** his fundamental responsibilities under the Code and Standards. ✓

**C)** Standard III(D) concerning performance presentation. ✗

**Explanation**

As a CFA Institute member, Feldman is bound, under Standard I(A), not to "knowingly participate or assist in any violation of such laws, rules, or regulations." Because it should be clear that releasing fake financial information is in contravention of laws, rules, and regulations, and because he knows that the data is purposely distorted, he must not release the data to the public. Doing so places him in violation of the Code and Standards.

(Module 21.1, LOS 21.a)

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## Question #3 of 46

Question ID: 1675841

Williams & Fudd is a major London-based brokerage and investment banking firm. Heritage Group, a money management firm, is the first-, second-, or third-largest holder of each of the securities listed on Williams & Fudd's "PrimeShare #10" equity security list.

On Tuesday morning, August 22, Williams & Fudd released a research report recommending the purchase of Skelmerdale Industries to the public and to its clients. On Wednesday afternoon, August 23, Heritage Group bought 1.5 million shares of Skelmerdale. This action is:

**A)** a violation of the Standard concerning disclosure of conflicts. ✗

**B)** a violation of the Standard concerning fair dealing. ✗

**C)** in accordance with the CFA Institute Code and Standards. ✓

**Explanation**

These actions are in accordance with both Standards III(B): Fair Dealing and VI(B): Priority of Transactions. There is no violation.

(Module 21.1, LOS 21.a)

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## Question #4 of 46

Question ID: 1675834

All of the following would be effective components of a formal compliance system except:

**A)** as a fiduciary under ERISA, the firm will strictly follow pension plan instructions and restrictions, which may include concentrating portfolios in a few securities or industries. ✓

**B)** the investor's objectives and constraints should be maintained and reviewed periodically to reflect any changes in the client's circumstances. ✗

**C)** the firm prohibits analysts and portfolio managers from using material nonpublic information in making investment recommendations or taking investment action.

**Explanation**

According to Standard III(A): Loyalty, Prudence, and Care, "Members shall use particular care in determining applicable fiduciary duty." Under ERISA, a fiduciary has the duty to diversify the plan's investments to protect it from the risk of substantial loss. The firm must follow pension plan instructions and restrictions unless they conflict with ERISA or other applicable laws and regulations. Having concentrated portfolios does not constitute effective diversification. An appropriate policy statement would be, "The firm will follow pension plan documents only to the extent that they are consistent with applicable laws and regulations. The firm will diversify plan assets to minimize the risk of loss."

(Module 21.1, LOS 21.a)

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## Question #5 of 46

Question ID: 1675858

All of the following would be effective components of a formal compliance system except:

**A)** the firm has a duty to vote all proxy statements that are in the best interests of plan participants and beneficiaries.

**B)** all managers must obtain client information to prepare an investment policy statement for each client.

**C)** investment managers may use soft dollars for the payment of research services, travel, meals, and lodging.

**Explanation**

The Securities and Exchange Act of 1934, Section 28(e), contains "safe harbor" provisions allowing investment managers to use soft dollars for research purposes only. Thus, soft dollars represent dollars paid for investment research and cannot be used for items such as travel, meals, and lodging.

(Module 21.1, LOS 21.b)

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## Question #6 - 9 of 46

Question ID: 1675867

Does the statement about the IEF's performance in the MAA marketing brochure violate the Code and Standards?

**A)** No.

**B)** Yes; there is no separation between fact and opinion.

**C)** Yes; the returns were stated gross of fees instead of net of fees.

**Explanation**

The statement does not appear to have anything in it that is false or opinion based. The statements regarding the fund's performance are strictly factual.

According to Standard III(D), it is acceptable to report performance on a gross-of-fees, net-of-fees, or after-tax basis. Therefore, there is no violation when the fund reports gross of fees.

(Module 21.1, LOS 21.b)

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## Question #7 - 9 of 46

Question ID: 1675868

Did Kisaleva violate the Code and Standards by asking her assistant to resign and join her at the competitor firm?

**A)** No.

**B)** Yes; Kisaleva was trying to use her position of power to influence her subordinate.

**C)** Yes; Kisaleva owed a duty of loyalty to MAA.

**Explanation**

There is no violation occurring when Kisaleva asks her assistant to join her at the competitor firm. According to Standard IV(A), a departing employee is free to make arrangements or preparations to go into a competitive business before terminating the relationship with his or her employee as long as such preparations do not breach the employee's duty of loyalty. Merely requesting her assistant to join her at the competitor firm would not reasonably constitute a breach of that duty.

Once Kisaleva announces her resignation from MAA and agrees she will only be working at MAA for three more days, she no longer has any significant position of power over her subordinate; any influence would likely be very limited.

(Module 21.1, LOS 21.b)

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## Question #8 - 9 of 46

Question ID: 1675869

Did Kim violate the Code and Standards by transferring Bucynski's funds into the EMF?

**A)** No; Bucynski told him to do so.

**B)** No; he warned Bucynski about the high return volatility and long-term investment horizon.

**C)** Yes.

**Explanation**

Kim violated Standard III(C) regarding suitability. Although Bucynski has invested in emerging markets stocks in the past, the EMF is not currently suitable for him given his advanced age (66 years) and the purpose of the funds (to fund his retirement). Kim needed to make a reasonable effort to balance his client's trading request with his responsibility to follow the agreed-upon IPS. In this case, complying with the client's request because of fear of losing the account is not reasonable.

Simply warning Bucynski about the high returns volatility and the long-term investment horizon is insufficient to demonstrate to him that the EMF is not suitable for his investment needs and objectives. The discussion must be more detailed and tie directly to the agreed-upon IPS.

(Module 21.1, LOS 21.b)

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## Question #9 - 9 of 46

Question ID: 1675870

Did Kim violate the Code and Standards with respect to updating Bucynski's IPS?

**A)** Yes.

**B)** No; it was updated each year.

**C)** No; there were no significant changes since it was first developed.

**Explanation**

Bucynski's dissatisfaction with his recent low returns and his willingness to invest in higher-risk investments that offer higher returns represents a significant departure from the most recent IPS, which suggested much-more-conservative investments. Therefore, Kim should have updated Bucynski's IPS before transferring the investments into the EMF. There is no evidence that Kim did so, and as a result, Kim is in violation of Standard III(C) regarding suitability.

(Module 21.1, LOS 21.b)

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## Question #10 of 46

Question ID: 1675833

Mark Vernley, CFA, is the owner of an engineering consulting firm called Energetics, Inc., which consults on asset and project valuations in energy-related industries. The firm currently employs 10 professional engineers. Vernley wants to develop and implement adequate compliance procedures for his firm to avoid potential conflicts of interest. Which of the following statements is *least likely* to represent an appropriate compliance procedure dealing with conflicts of interest? Employees at Energetics are required to:

**A)** certify annually that they have maintained familiarity with the compliance procedures and agree to abide by them. ✗

**B)** deal fairly and objectively with all clients and prospects when providing consultation on asset and project valuations. ✓

**C)** report, in writing, on a quarterly basis all securities transactions for their personal portfolios and those in which they have a beneficial interest. ✗

**Explanation**

Standard III(B): Fair Dealing requires members to deal fairly and objectively with all clients and prospects. Of the statements presented, dealing fairly and objectively with clients is least likely to be a compliance procedure dealing with conflicts of interests. The other statements involve compliance procedures dealing with conflicts of interests.

(Module 21.1, LOS 21.a)

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## Question #11 of 46

Question ID: 1675840

Futura Investments Co. decides to diversify its current portfolio with stocks from three companies in a new segment of the biotechnology industry. William Burgin, CFA, is an analyst at Futura and had previously bought shares of the same three companies for his own portfolio, well before his employer started researching them. Burgin has already disclosed the composition of his personal portfolio to Futura Investments to be in compliance with the Code and Standards. Which of the following actions should Burgin take?

**A)** Diversify his personal portfolio so, in this way, these stocks will no longer represent a substantial portion of the portfolio. ✗

**B)** Hire a full discretionary power or blind trust manager for his portfolio. ✓

**C)** Open an account that will be managed by someone else, but that will allow him to maintain his investment preferences. ✗

**Explanation**

Burgin followed Standard VI(A) and informed his employer about the potential conflict of interest. He needs to follow the CFA Institute Standards in the best interest of his employer. To prevent any future problems with conflict of interest, his best option is to discontinue the active management of his personal portfolio and use a blind trust.

(Module 21.1, LOS 21.a)

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## Question #12 of 46

Question ID: 1675848

Marc Feldman, CFA, is manager of corporate investor relations for a high-tech start-up, Zippy.com, in Boise, Idaho. Feldman is well known in the high-tech community in Boise, and Dragon.com has asked if he will help them organize their investor relations function on a consulting basis. They offer him an all-expenses-paid, two-week vacation for two on Australia's Gold Coast in payment. Regarding this offer as it pertains to Standard IV(B): Additional Compensation Arrangements, as a CFA Institute member, Feldman is:

**A)** not allowed to accept such an offer because it effectively places him in competition with his employer. ✗

**B)** allowed to accept the offer only with written approval from Zippy. ✓

**C)** allowed to accept the offer with written approval from Zippy and from Dragon. ✗

**Explanation**

Under Standard IV(B): Additional Compensation Arrangements (which says members and candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they obtain written consent from all parties involved), Feldman is allowed to accept the offer once he receives written permission from his current employer, Zippy, because it would be inferred that he would also get an approval offer in writing from Dragon.

(Module 21.1, LOS 21.a)

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## Question #13 of 46

Question ID: 1675850

Using as his universe all companies in the steel industry, Reynold Anderson analyzes the performance of stock prices for the industry. He succeeds in developing a regression model with excellent statistical control measures. The extrapolation from the model shows low risk variance of the securities in this industry. Without the inclusion of nonsteel stocks in the portfolio, Anderson concludes that, based on these results, every portfolio can use the steel industry securities to diversify and lower its risk. He persuades his clients to change their current portfolios. Anderson states that, as the model's results show, some particular industries, such as car manufacturers, have underpriced stocks, and investors should take advantage of it. Anderson has violated the Standards because he:

**A)** does not distinguish the opinion, based on his model, from the fact. ✓

**B)** does not consider the suitability of the investment. ✗

**C)** is not clear enough about the model results. ✗

**Explanation**

While any of the answers can be shown to violate CFA Institute Standards, this cannot be determined conclusively from the information given. However, the scenario clearly indicates that Anderson does not distinguish between opinion and fact in communicating to his clients. Therefore, he violates the Standards on this basis.

(Module 21.1, LOS 21.a)

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## Question #14 of 46

Question ID: 1675822

Xenica Jones, CFA, is a portfolio manager and follows the office equipment industry for Hynes-Gold and Co. In her June 30 discussions with the management of Zprint, she learns that an internal audit has detected irregularities in the firm's Italian operations. This fact is disclosed on July 1 in both *The Wall Street Journal* and *The Financial Times.* On July 10, Zprint's management announces that an investigation of the matter would not be completed until an external audit of all European operations was complete. This stock dropped 6% on the news release on July 10. Jones places a series of sell transactions in Zprint stock on July 3. When she places the trades, she trades first for her clients and finishes with a trade selling short for her own account. These actions are:

**A)** in violation of the Standard concerning fiduciary duties because she is not allowed to sell short under the Standard. ✗

**B)** in violation of the Standard concerning fair dealing. ✗

**C)** not in violation of the Code and Standards. ✓

**Explanation**

Her actions are not in violation of the Code and Standards. So long as her firm does not preclude her selling short, she is entitled to do so.

(Module 21.1, LOS 21.a)

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## Question #15 of 46

Question ID: 1675847

Pamela Gee is a portfolio manager. She is planning to establish her own money management firm. She has already informed her employer, Branford, Inc., about her plans. In her remaining time at Branford, she would be prohibited from:

**A)** informing her current clients about her resignation and let them know how to reach her, in case any problems arise in the future. ✓

**B)** registering her new company with the appropriate regulatory agency. ✗

**C)** soliciting Branford clients and Branford colleagues. ✗

**Explanation**

Standard IV(A): Loyalty to Employer does not prevent someone from preparing to go into business for themselves as long as they are doing it on their own time, such as registering her new company with the appropriate regulatory agency.

She cannot solicit her employer's clients before leaving the firm, but she is allowed to solicit employees, which makes that statement half correct and half incorrect. The standard does not specifically prohibit soliciting colleagues to join her at her new firm while still working at her current employer.

Gee's former clients should be contacting Branford and not Gee because the clients don't belong to Gee. If Branford seeks additional information from Gee about those clients, then it is up to Branford to contact Gee—but those clients should not be contacting an ex-employee. Therefore, Gee's actions here would be fully prohibited, and this is the best answer.

(Module 21.1, LOS 21.a)

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## Question #16 of 46

Question ID: 1675837

Marc Feldman, CFA, is the manager of corporate investor relations for a high-tech start-up, Zippy.com, in Boise, Idaho. Feldman learns that Larry Smith, controller, is altering the accounting records. He decides that any ramifications from such activity is Smith's problem and does not report this fact. According to the CFA Institute Code and Standards, he should or is required to do all of the following except:

**A)** report the activity to the Financial Accounting Standards Board or other relevant regulatory body. ✓

**B)** determine legality, consulting counsel if necessary. ✗

**C)** urge Smith to cease altering the accounting records. ✗

**Explanation**

As per the *Standards of Practice Handbook*, "The Code and Standards do not require that members report legal violations to the appropriate governmental or regulatory organizations, but such disclosure may be prudent in certain circumstances." In this instance, he would likely be better off discussing the matter with the firm's legal counsel and Smith's superiors.

(Module 21.1, LOS 21.a)

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## Question #17 of 46

Question ID: 1675842

Milton Baker, CFA, prepares a research report on the dynamics of a stock price. In his study, he uses a considerable number of information sources—both outside sources and his company's own research papers—prepared for both internal and public use. The report will first be distributed at the monthly department meeting and then later will be published on the company's intranet. He thinks that he may have neglected to mention some of his sources in his reference list, but he decides that he needs to be concerned about full disclosure of his sources only for the public version of the report, so he will wait to revise his work until after the monthly meeting but before it is published on the intranet. Which Standards does Baker not comply with?

**A)** Standard I(C): Misrepresentation, I(B): Independence and Objectivity, and I(A): Knowledge of the Law. ✗

**B)** Standard I(C): Misrepresentation only. ✗

**C)** Standard I(C): Misrepresentation and I(A): Knowledge of the Law. ✓

**Explanation**

Baker has some doubts, but he does not initiate any action, presuming they only apply to the publicly disclosed report. The lack of action is a violation of Standard I(A): Knowledge of the Law. He also violates Standard I(C): Misrepresentation by failing to properly disclose the sources of his information, where necessary.

(Module 21.1, LOS 21.a)

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## Question #18 of 46

Question ID: 1675844

Kenny Barrett, CFA, is working in the Australian office of American Investments Co. From an informal conversation, Barrett learns that the company's most recent investment report was based on misappropriated information. No one at the Australian office expresses concern, however, because there has been no breach of Australian law. Barrett should:

**A)** seek advice from company counsel to determine the appropriate action.

**B)** do nothing because the branch is outside of U.S. jurisdiction.

**C)** disassociate himself from the case with a written report to his supervisor.

**Explanation**

Barrett's best choice is to seek the company counsel's advice. If Barrett does nothing, he is breaching Standard I(A): Knowledge of the Law. Disassociation is not enough.

(Module 21.1, LOS 21.a)

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## Question #19 of 46

Question ID: 1675843

While working on her report, Jean Paul, CFA, learns from her friend in the investment banking department that the company she is analyzing can expect a tender offer very soon. Concerning this conclusion, Paul can:

**A)** not trade on it because it is material nonpublic information.

**B)** trade on it because it is public information.

**C)** trade on it because she figured it out by herself.

**Explanation**

According to Standard II(A): Material Nonpublic Information, an analyst is prohibited from trading on information that is both material and nonpublic.

(Module 21.1, LOS 21.a)

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## Question #20 - 25 of 46

Question ID: 1675852

Regarding the written statement concerning the success of BC's prior venture capital investment offerings as well as the verbal slogan concerning risk and return that BC's representatives have been instructed to say to investors, which of the following is a violation of the Code and Standards?

**A)** The written statement only.

**B)** The verbal statement only.

**C)** Both statements are a violation.

**Explanation**

According to Standard I(C): Misrepresentation, the firm and its representatives cannot make oral or written statements that misrepresent the firm's record or what it can expect to achieve. It is not reasonable to believe that BC is capable of repealing the laws of risk and return. Therefore, the verbal statement is in violation of the Standard. On the other hand, assuming that its record of success is correct as indicated, then it can publish that fact. However, some caution is warranted here as well—and, despite what BC has accomplished, past performance is not necessarily an indicator of future results. This statement should accompany the performance data.

(Module 21.1, LOS 21.a)

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## Question #21 - 25 of 46

Question ID: 1675853

In preparing her report on Spanish Garden, Fosler violated the Code and Standards:

**A)** by eating at the restaurant before writing her report, but not by accepting the coupon.

**B)** by accepting the meal coupon, but not by eating at the restaurant before writing her report.

**C)** in no way; no violation has occurred.

**Explanation**

The gift is not a violation of Standard I(B): Independence and Objectivity. Token gifts are not a violation. Eating at the restaurant would be part of the research process and congruent with Standard V(A): Diligence and Reasonable Basis.

(Module 21.1, LOS 21.a)

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## Question #22 - 25 of 46

Question ID: 1675854

Of the two categories of files that Thornton has decided to throw away, for which will the discarding of files be a violation of the Code and Standards?

**A)** The files on applicants for venture capital that were refused.

**B)** Both categories of files.

**C)** Neither category of files.

**Explanation**

According to Standard V(C): Record Retention, a firm must keep adequate records supporting actions taken and recommendations made. The Code and Standards do not require records for actions not taken and recommendations not made.

(Module 21.1, LOS 21.a)

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## Question #23 - 25 of 46

Question ID: 1675855

Fred Benson's comments concerning Spanish Garden would be considered:

**A)** material, public information, and Fosler would not be in violation of the Code and Standards by not including it in her report on Spanish Garden.

**B)** nonmaterial, nonpublic information, and Fosler would not be in violation of the Code and Standards by not including it in her report on Spanish Garden.

**C)** nonmaterial, nonpublic information, and Fosler would be in violation of the Code and Standards by not including it in her report on Spanish Garden.

**Explanation**

Benson saying he likes the food is merely a personal opinion, and such an opinion would not be unexpected, given his relationship with Spanish Garden. His second comment says nothing about the quality of the restaurant as an investment. No reasonable investor would take such comments as a reason to purchase the company. Under Standard V(B): Communication with Clients and Prospective Clients, "members shall use reasonable judgment regarding the inclusion or exclusion of relevant factors in research reports." Clearly, the comment was just an opinion, and it should not be included in the report.

(Module 21.1, LOS 21.a)

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## Question #24 - 25 of 46

Question ID: 1675856

When issuing the report on Spanish Garden, Fosler must disclose:

**A)** Benson’s directorship, but not the ownership.

**B)** neither Benson’s ownership interest nor the directorship.

**C)** Benson's ownership and the directorship.

**Explanation**

Both the ownership interest and the directorship must be disclosed to be in compliance with Standard VI(A): Disclosure of Conflicts. The disclosure of such information will allow those acting on the basis of the research to judge for themselves whether, and to what degree, such a conflict of interest may bias the opinion contained in the report.

(Module 21.1, LOS 21.a)

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## Question #25 - 25 of 46

Question ID: 1675857

With respect to Fosler's report on Spanish Garden, the CDC order, and the subsequent actions taken by Fosler and Thornton:

**A)** both Fosler and Thornton are in violation of the Code and Standards. ✗

**B)** neither Fosler nor Thornton is in violation of the Code and Standards. ✗

**C)** Thornton is in violation of the Code and Standards, but Fosler is not. ✓

**Explanation**

Fosler composed the report using appropriate information and judgment. She told her supervisor about the CDC order. When Thornton disseminated the report without the new information, he was in violation of Standard V(B): Communication with Clients and Prospective Clients because he did not use reasonable judgment regarding the inclusion or exclusion of relevant factors in the research report. Fosler acted correctly by seeking BC's legal counsel after the dissemination.

(Module 21.1, LOS 21.a)

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## Question #26 of 46

Question ID: 1675849

While copying some of her research materials at work, Mary Jones comes across a few incomplete research notes written by one of her colleagues. As a result of reading the notes, and without further review, Jones immediately changes one of her stock recommendations from sell to buy. Which of the following CFA Institute Standards has Jones violated?

**A)** Standard V(A): Diligence and Reasonable Basis. ✓

**B)** Standard III(A): Loyalty, Prudence, and Care. ✗

**C)** Standard I(B): Independence and Objectivity. ✗

**Explanation**

Jones has violated Standard V(A) by failing to exercise diligence and thoroughness.

(Module 21.1, LOS 21.a)

## Question #27 of 46

Question ID: 1675865

Marc Feldman, CFA, is manager of corporate investor relations for a high-tech start-up, Zippy.com, in Boise, Idaho. Feldman learns that Larry Smith, controller, is altering the accounting records. Feldman advises some of his personal friends to sell short Zippy.com. This action constitutes:

**A)** the use of material nonpublic information and is a violation of the Code and Standards. ✓

**B)** professional misconduct but not the use of nonpublic information and is a violation of the Code and Standards. ✗

**C)** a violation of the Standard concerning prohibition against misrepresentation. ✗

**Explanation**

The information is apparently nonpublic, and is clearly material because the valuation of securities in the market place is predicated upon financial data and other relevant information. Trading or inducing others to trade is a clear violation of Standard II(A).

(Module 21.1, LOS 21.b)

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## Question #28 of 46

Question ID: 1675859

Marc Feldman, a CFA Institute member, is treasurer of Zippy.com, and is Larry Goldman's boss. Feldman is informed of "accounting irregularities of an unknown origin" during an audit by Zippy's external accounting firm. There are three individuals, including Goldman, handling the accounting function. According to the Code and Standards, Feldman should do all of the following except:

**A)** leave the staff in their current jobs and increase supervision while the external auditors complete their work. ✗

**B)** terminate the accounting staff immediately and issue a press release describing the situation. ✓

**C)** conduct a thorough investigation of activities. ✗

**Explanation**

Standard IV(C) spells out responsibilities of supervisors in the *Standards of Practice Handbook*. Because the investigation is ongoing, it would clearly be inappropriate to terminate the entire accounting staff until their complicity in the wrongdoing is established.

(Module 21.1, LOS 21.b)

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## Question #29 of 46

Question ID: 1675861

Noah Johnson, CFA, is a broker with a money management company, Factor, Inc. In a conversation with Tom Williams, Johnson describes the activities of Factor and discusses the characteristics of portfolio construction. Which of the following statements would not, on its face, be considered a misrepresentation?

**A)** Factor guarantees the portfolio will achieve its goal return. ✗

**B)** If Williams is not satisfied with the current target return, Johnson can always improve it by increasing his T-bills share. ✗

**C)** The portfolio securities were carefully selected by Factor to minimize Williams's risk. ✓

**Explanation**

Standard I(C): Misrepresentation, prohibits CFA charterholders from misrepresenting characteristics of the portfolio or the services that the company can provide. The only statement that can be accepted as plausible is that the securities were selected to minimize the risk.

(Module 21.1, LOS 21.b)

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## Question #30 of 46

Question ID: 1675839

Adam Core, CFA, is a supervisor at a brokerage firm. Recently, he discovered a complicated mechanism that brokers are using to obtain referrals of new clients in exchange for reduced commissions and other benefits to existing clients. The new clients are not aware of this practice. Core consults with compliance counsel and initiates an investigation. Which of the following actions violates CFA Institute Standards?

**A)** Core ensures that everybody in the company has a copy of the CFA Institute Code and Standards and a copy of the internal compliance system. He starts organizing special seminars on compliance with CFA Institute requirements. ✗

Core starts collecting information and records on the case, as well as

**B)** interviewing all involved employees. He decides against immediate limitations on their work, to ensure the work of the company will continue undisturbed. ✓

**C)** Core's first goal is to identify all violators. ✗

**Explanation**

Given the possibility of a violation, Core must impose limitations on the normal activities of the suspected employees until the investigation is complete, as explained in Standard IV(C): Responsibilities of Supervisor.

(Module 21.1, LOS 21.a)

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## Question #31 of 46

Question ID: 1675864

Mary Hiller, CFA, is a senior analyst at a mutual fund. She is also a member of the board of the directors of her daughter's skating club. She is often asked for advice about the management of the club budget and about possible short-term investments, but she is not paid for this advice. She does not undertake any research to answer these questions, providing information based only on the general practices of the mutual fund at that moment. The only benefit she receives is a free monthly membership for her daughter that would usually cost $182. What should she do before making any recommendations, to comply with the CFA Institute requirements?

**A)** Obtain prior permission from her employer. ✓

**B)** Consult only on her free time and do not accept any benefit greater than $100. ✗

**C)** Inform her current clients about her outside consulting. ✗

**Explanation**

According to Standard IV(A): Loyalty to Employer, it is the employee's duty to inform the employer about any type of outside consulting service, including duration and any compensation. Only after receiving permission from her employer can she proceed.

(Module 21.1, LOS 21.b)

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## Question #32 of 46

Question ID: 1675846

Which of the following is not considered plagiarism under CFA Institute Standards?

A) Using factual information from a recognized financial information agency without acknowledging the source of the information. ✓

B) Improving an existing report and using it inside the company under a new title without acknowledging the source of the original report. ✗

C) Adjusting an already-published model and announcing it as a new model without acknowledging the source of the original model. ✗

**Explanation**

Factual information that is already public and is obtained from a recognized information agency can be used without acknowledgment and is not considered plagiarism. All other options are considered plagiarism.

(Module 21.1, LOS 21.a)

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## Question #33 of 46

Question ID: 1675823

Perley & Sons is an investment advisor company that just signed a contract with full discretionary power for the management of assets for Bright Future, a charitable fund. Without consultation, portfolio manager Martin Brown, CFA, decides to trade the funds' assets through a brokerage firm that provides, as an additional benefit, research reports for companies in the microchip industry. These companies represent the main investment interest for most of the Perley & Sons clients. The Bright Future portfolio does not hold any equities in the microchip industry, and, because of its risk profile, is unlikely to ever do so. Which of the following activities represents a possible breach with the CFA Institute Standards?

A) Accepting research reports from the brokerage firm that do not benefit client portfolios. ✗

B) Lack of action in consulting with the client before choosing the brokerage firm. ✗

C) Exercising a selection principle that does not comply with the idea of best trade price and execution. ✓

**Explanation**

The problem refers to the fiduciary duties of the analyst and brokerage contracts involving soft money. Trades placed with a broker who provides the firm with research are implicitly paying for the research. In a competitive marketplace, it is probable that the trades could have been as effectively placed with a broker who was able to provide research that would apply to the holdings of Bright Future. According to Standard III(A): Loyalty, Prudence, and Care, it is permissible to direct trades of the client portfolio through a broker who provides research that does not directly benefit the client portfolio, but the client should be informed about the situation.

(Module 21.1, LOS 21.a)

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## Question #34 of 46

Question ID: 1675845

Calvin Moore, CFA, has been transferred from the brokerage house of the Browning Company to the portfolio management department. In portfolio management, Moore learns that clients are grouped into three divisions according to portfolio value, divided as follows:

- Group 1: up to $10,000
- Group 2: $10,001–$100,000
- Group 3: more than $100,000

When recommendations are announced or trades are initiated, a particular sequence is followed in communicating to these groups. At the next monthly meeting, Moore suggests that the sequencing practice is a breach of CFA Institute Standards. One of Moore's coworkers replies that the grouping approach helps the company in applying the Standard regarding portfolio recommendations. He further suggests that because Browning's overall performance is more strongly affected by actions taken on the high-value portfolios, that these portfolios should take priority over the small-value portfolios. Moore should:

**A)** disassociate himself from the problem and seek legal advice. ✓

**B)** prepare a written report to the CEO describing the problem. ✗

**C)** do nothing because there is no breach with the Standards. ✗

**Explanation**

Taking a special approach in disseminating information in relation to initiating trades is a breach of Standard III(B): Fair Dealing. Given the fact that Moore works in the department and has already unsuccessfully tried to prevent the practice from continuing, he needs to disassociate himself and seek legal advice.

(Module 21.1, LOS 21.a)

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## Question #35 of 46

Question ID: 1675825

Klaus Gerber, CFA, is a regular contributor to the internet site WizeGuy. This past week, Gerber has been incorrectly quoted as recommending that investors buy shares in Gresham, Inc. He is unaware that this message has been placed on the site as the quote was placed as a prank by an unknown source. This is the third time this has happened over the past month.

Fritz Fox, CFA, maintains and updates the WizeGuy site and has learned how to determine if the quotes being attributed to Gerber are actually valid. Several days later, he observes an investment recommendation, posted on the site, to buy Gresham, Inc. The investment recommendation is purported to be from Gerber, but Fox actually knows it to be fake. He immediately sells 1,000 Gresham short and emails Gerber to inform him of the fake recommendation. Gerber immediately issues a rebuttal, and Gresham falls by 14%.

Gerhard Rau, CFA, is Fox's supervisor at WizeGuy and has reviewed Fox's trade in Gresham. Gerhard should:

**A)** confront Fox, warn him to cease, and require him to sign a statement that such activities will not happen again. ✗

**B)** begin monitoring Fox's activities surreptitiously over the upcoming months to see if the activity recurs. ✗

**C)** initiate an investigation and place limits, as deemed necessary, on Fox's behavior. ✓

**Explanation**

Standard IV(C) spells out the responsibilities of supervisors. There are three main procedures for compliance once wrongdoing is suspected: (1) respond promptly, (2) investigate thoroughly, and (3) place limits upon the suspected wrongdoer. According to the Handbook, "Relying on an employee's statements about the extent of the violation or assurances that wrongdoing will not recur is not enough. Reporting the misconduct up the chain of command and warning the employee to cease the activity are also not enough."

(Module 21.1, LOS 21.a)

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## Question #36 of 46

Question ID: 1675863

To comply with the CFA Institute Standards, an analyst should use:

**A)** only his own research in making investment recommendations, because anything else would violate Standard I(B): Independence and Objectivity. ✗

**B)** only his company's research when making investment recommendations and use outside research for reports and analysis on stocks.

**C)** outside research only after verifying its accuracy.

**Explanation**

With Standard I(B): Independence and Objectivity, the analyst is allowed to use outside research only after an insightful review. There are no restrictions regarding the exclusive use of outside information or in-house information.

(Module 21.1, LOS 21.b)

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## Question #37 of 46

Question ID: 1675836

Kimberly Olson has recently become a CFA charterholder, and she has just started a new job at Securities Online as a junior analyst. After preparing her first research report, Olson decides to consult with one of the senior analysts who make minor corrections to improve the content of the report. Olson makes changes to the report according to the senior analyst. Upon presentation of the report, Olson finds that statements made by the senior analyst contained incorrect information. Which of the following statements is correct?

**A)** Olson did not need to check the additional comments.

**B)** If Olson attributes those comments to the senior analyst, she cannot be held responsible for incorrect information.

**C)** Olson should have checked the accuracy of the comments.

**Explanation**

It is the responsibility of the analyst to confirm that information provided is accurate. The fact that the person editing the report is a senior analyst is irrelevant.

(Module 21.1, LOS 21.a)

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## Question #38 of 46

Question ID: 1675862

Klaus Gerber, CFA, is a regular contributor to the internet site WizeGuy. This past week, Gerber has been incorrectly quoted as recommending that investors buy shares in Bradford, Inc. He is unaware that this message has been placed on the site as the quote was placed as a prank by an unknown source. This is the third time this has happened over the past month, and each time, the stock being mentioned moved in price according to the buy or sell recommendation.

Fritz Fox, CFA, maintains and updates the WizeGuy site and has learned how to determine if the quotes being attributed to Gerber are actually valid. Several days later, he observes an investment recommendation, posted on the site, to buy Gresham, Inc. The investment recommendation is purported to be from Gerber, but Fox actually knows it to be fake. He immediately sells 1,000 Gresham short and emails Gerber to inform him of the fake recommendation. Gerber immediately issues a rebuttal, and Gresham falls by 14%. Fox's action is:

**A)** not in violation of the Code and Standards. ✗

**B)** a violation of the Standard concerning fiduciary duties. ✗

**C)** a violation of the Standard concerning the use of material nonpublic information. ✓

**Explanation**

Even though the information is false, this fact is known only to Fox; thus, it is nonpublic information. Because such recommendations have, in the past, had a significant effect on the price of the security in question, the information is clearly material. Fox is in violation of Standard II(A): Material Nonpublic Information.

(Module 21.1, LOS 21.b)

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## Question #39 of 46

Question ID: 1675824

All of the following would be effective components of a formal compliance system except:

**A)** members with supervisory responsibility can rely on the compliance manual and the compliance department to prevent and detect violations. ✓

**B)** managers and brokers should pay careful attention to risk tolerance in determining an appropriate investment policy statement for each client. ✗

**C)** employees who receive material nonpublic information should communicate that information to the company's compliance officer without discussing the information with coworkers. ✗

**Explanation**

Standard IV(C): Responsibilities of Supervisors states that members with supervisory responsibility must make reasonable efforts to detect violations of laws, rules, regulations, and the Code and Standards. Once a compliance program is in place, supervisors should take such actions as reviewing the compliance material with employees personally, periodically updating procedures, reviewing the actions of employees to ensure compliance and identify violators, and taking the necessary steps to enforce the procedures once a violation has occurred.

(Module 21.1, LOS 21.a)

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## Question #40 of 46

Question ID: 1675835

All of the following would be effective components of a formal compliance system except:

**A)** the allocation of trades should first be to certain large client accounts with similar investment objectives and constraints, and then to other suitable client accounts. ✓

**B)** seminars and conferences may be paid for using soft dollars only if the activity qualifies as research. ✗

**C)** the firm should disclose any soft dollar arrangements to clients. ✗

**Explanation**

Standard III(B): Fair Dealing requires that members treat all clients and prospects fairly when taking investment action. Giving priority to certain large accounts violates Standard III(B). An appropriate statement complying with the standard would be as follows: "Allocation of trades shall be on a fair and equitable basis for all portfolios with similar investment objectives and constraints."

(Module 21.1, LOS 21.a)

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## Question #41 - 46 of 46

Question ID: 1675827

Which of the following goals from Tully's list of eight goals will probably require the *least* amount of effort to complete?

**A)** Goal 3. ✗

**B)** Goal 1. ✗

**C)** Goal 4. ✓

**Explanation**

The guideline for compliance of Goal 4 (how to use inside information concerning a tender offer) would only require one sentence: "You cannot use this information under any circumstances." The other items would require more detail concerning the specific actions that are and are not allowed.

(Module 21.1, LOS 21.a)

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## Question #42 - 46 of 46

Question ID: 1675828

Which goal on the list, if completed by Tully, would *most likely* be a violation of the Code and Standards?

**A)** Goal 3. ✓

**B)** Goal 5. ✗

**C)** Goal 4. ✗

**Explanation**

The drafting of a common investment statement for all clients would most likely be a violation of the Code and Standards. Each client should have an investment policy statement that reflects their own particular circumstances.

(Module 21.1, LOS 21.a)

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## Question #43 - 46 of 46

Question ID: 1675829

For Goal 2, in defining material nonpublic information, the term *material* refers to information that is likely to significantly affect the market price of the issuing company's securities or that is:

**A)** likely to preclude the financial analyst or analyst's firm from rendering unbiased or objective advice. ✗

**B)** acquired by the financial analyst from a special or confidential relationship with the issuing company. ✗

**C)** likely to be considered important by reasonable investors in determining whether to trade a particular security. ✓

**Explanation**

*Material* refers to information that is likely to significantly affect the market price of the issuing company's securities or that would be considered useful information by reasonable investors in determining whether to trade a particular security.

(Module 21.1, LOS 21.a)

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## Question #44 - 46 of 46

Question ID: 1675830

Regarding Goal 6, if some of the available brokers are offering soft dollars that are only of general benefit to Bonn, Tully should recommend that Bonn should choose the broker with which of the following characteristics?

**A)** Good price and execution, and low soft dollars. ✗

**B)** Good price and execution, and good soft dollars. ✗

**C)** Best price and execution, but no soft dollars. ✓

**Explanation**

Standard III(A): Loyalty, Prudence, and Care, requires members to act for the benefit of their clients and to place client interests ahead of their own. Best trade price and execution is generally the way to meet this requirement. Using client soft dollars to benefit the firm (Bonn is the firm) is a direct violation. Soft dollars are controversial, and some feel they should be totally banned. The Standards do not go that far. *If the soft dollars benefit the clients whose accounts generate the soft dollars and the use of soft dollars is disclosed, they are acceptable. We have no indication that is the case. If it were the case and the firm can also make some general use of the information or services received, that is also acceptable.* However, using soft dollars to gain information or services that the firm needs to deliver its basic product is not acceptable.

(Module 21.1, LOS 21.a)

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## Question #45 - 46 of 46

Question ID: 1675831

MIB management has:

**A)** not violated the Code and Standards by allowing the value of the Gold Fund to decline, nor by not rebalancing it. ✗

**B)** violated the Code and Standards by allowing the value of the Gold Fund to decline, but not by not rebalancing it. ✗

**C)** not violated the Code and Standards by allowing the value of the Gold Fund to decline, but did violate the Code and Standards by not by rebalancing it. ✓

**Explanation**

As long as MIB was managing the Gold Fund in accordance to its prospectus, a decline in value does not mean that a violation has occurred. However, the prospectus does specify a certain allocation in gold. Standard V(B): Communication with Clients and Prospective Clients requires members to disclose "general principles and investment processes" to clients and to "promptly disclose to clients and prospects any changes that might significantly affect those processes." Under the Standard, Midland management is required either to

1. rebalance the portfolio in a timely manner, so as to maintain compliance with the investment policy; or
2. communicate an intended change in that policy well in advance of the actual change, so as to afford investors time to act before the change in investment policy takes place.

Midland is in violation of the Standard by not rebalancing the portfolio.

(Module 21.1, LOS 21.a)

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## Question #46 - 46 of 46

Question ID: 1675832

With respect to the invitations Waller has received from the management of Stepp and Joshua, to comply with the Code and Standards, Waller:

**A)** may attend the Joshua meeting and may not attend the Stepp meeting under any circumstances. ✗

**B)** may attend the Stepp meeting and may not attend the Joshua meeting under any circumstances. ✗

**C)** must not attend the Joshua Manufacturing meeting unless Waller pays his own expenses. ✓

**Explanation**

Standard I(B): Independence and Objectivity requires that "members shall use reasonable care and judgment to achieve and maintain independence and objectivity in making investment recommendations or taking investment action." This Standard specifically addresses special cost arrangements, and precludes members from accepting payment for commercial transportation and hotel charges. Because the meeting is in Philadelphia, regular commercial air service is available, and Waller cannot accept payment for this expense. He is also prohibited from accepting payment for ordinary hotel charges. Hence, he may only attend the meeting with Joshua if his firm pays his expenses. Accepting the lunch provided by Stepp, because its value is token, would not be a violation of the Standard.

(Module 21.1, LOS 21.a)